

TEACHING NOTE

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KEL958

ATF, Inc.: Fasteners and Family

Case Synopsis

The Accurate Threaded Fasteners (ATF) case is a succinct opportunity to explore the many special features of leadership succession for a family business. In 2009 ATF was passing the baton to the oldest of three sons in the second-generation family business.

ATF produced metal and plastic fasteners for, primarily, the automotive industry. ATF had grown into a company with more than \$50 million in annual revenues. The company had grown in large part through alliances with other family businesses around the world. First-generation patriarch Don Surber had led the company since he acquired it in 1982. Don was known for his charismatic leadership style and his focus on driving value through a network approach.

The case traces the career paths of all three sons and looks at the succession through the eyes of the oldest son, Jason Surber. The elements, constituents, and challenges of succession are evident. The fundamental insight is that business leadership succession is far more than just passing the business leadership baton. It also requires attention to the family, the board, the whole system of external stakeholders, and the future of ownership.

The epilogue in this note covers the period from 2009 to 2012 by describing what Jason did to earn credibility, to incorporate his brothers, and to define his personal leadership philosophy and style. The epilogue thus provides students with an opportunity to consider and define their own personal philosophy of management leadership and their own style. They will see the art of melding styles from the past with their own for the future.

Learning Objectives

After reading and analyzing the case, students will be able to:

- Identify the elements of a well-formulated succession process
- Consider the classic challenges of succession in a family business
- Recognize that succession is much more than the event of passing the baton of business leadership; it is best seen as an evolving process over time
- Define their personal philosophy of management/leadership, a lifelong work in progress

Appropriate Uses

This case suits any course in family business. Succession deservedly is the number one issue business families face. The case may be taught as a one- to one-and-a-half-hour segment to identify the many elements of a succession—many noted here are considered less often—and the common challenges to a successful succession.

Or, in tandem with the epilogue, the case may be taught in two segments, with one-and-a-half to three hours for the second segment. If taught in two segments, the epilogue should be distributed and read before the second session. The epilogue describes how the successor, Jason Surber, faced classic succession-related challenges, and it examines his personal philosophy of management/leadership. That provides the opportunity for a substantial discussion of the elements of such a philosophy and for students to draft or outline their own. The personal philosophy of management can be a graded assignment and/or presented orally or in writing to small groups or to the entire class (see details in “Case Analysis” section below).

Supplementary Materials

For the ATF case (i.e., not including the epilogue), the following recommended readings focus on the elements and challenges of a succession plan.

Aronoff, Craig, Stephen McClure, and John L. Ward. *Family Business Succession, The Final Test of Greatness*. New York: Palgrave Macmillan, 2010.

Chamorro-Premuzic, Tomas. “The Dark Side of Charisma.” HBR Blog Network, November 16, 2012. http://blogs.hbr.org/cs/2012/11/the_dark_side_of_charisma.html.

Lansberg, Ivan. “The Succession Conspiracy.” *Family Business Review* 1, no. 2 (June 1988): 119–43.

Lansberg, Ivan. “The Tests of a Prince.” *Harvard Business Review*, September 2007.

Watkins, Michael. *The First 90 Days: Critical Success Strategies for New Leaders at All Levels*. Boston: Harvard Business School Press, 2003.

———. “Why the First 100 Days Matters.” HBR Blog Network, March 23, 2009. http://blogs.hbr.org/watkins/2009/03/why_the_first_100_days_matters.html.

As preparation for a class session on the epilogue—focusing on the personal philosophy of management/leadership—any number of examples of such philosophies are relevant, including books and articles such as those below. The case analysis section presents additional readings in this regard.

DePree, Max. *Leadership is an Art*. New York: Crown Business, 2004.

Nayar, Vineet. *Employees First, Customers Second: Turning Conventional Management Upside Down*. Boston: Harvard Business Press, 2010.

Neuschel, Robert P. *The Servant Leader: Unleashing the Power of Your People*. Evanston, IL: Northwestern University Press, 2005.

Stayer, Ralph. “How I Learned to Let My Workers Lead.” *Harvard Business Review*, November–December 1990.

Assignment Questions

FOR THE ATF CASE:

1. What are the particularly important elements of a comprehensive succession plan?
2. Who are the constituents of a family business leadership succession?
3. In what ways does the ATF experience share common elements with your own experience related to continuity planning and succession in family business?
4. What are the particular challenges Jason Surber faces? What recommendations would you make for him to address these challenges?

FOR THE EPILOGUE:

5. What are the elements of a personal philosophy of management/leadership? How would you describe your own?
6. What is the personal philosophy of management/leadership of the incumbent CEO in *your* situation?
7. What is the best philosophy of management/leadership you have experienced or read about?
8. How would you describe the key features of *your own* personal philosophy of management/leadership?

Case Analysis

ATF CASE

The questions and corresponding ideas below may be used as part of class discussion.

1. What are the particularly important elements of a comprehensive succession plan?

Important succession plan elements include:

- Senior generation: new roles and presence
- Career paths of other employees and family members
- Future ownership, dividends, compensation
- Strategic opportunities for success
- Design of governance
- Public communications strategy and future titles

(Each of the elements above is discussed in detail as a response to Question 3, below.)

2. Who are the constituents of a family business leadership succession?

- The management and employee organization
- The board of directors

- The predecessor leader/generation
- Other family members, including the successor's spouse and other spouses (at ATF, the two other siblings involved are of particular note)
- Business owners
- Joint-venture partners (especially relevant for ATF)
- Other possible critical parties, such as bankers, investors, professional advisors, customers, suppliers, and regulators

The ATF case provides a good example of attention paid to the successor's two siblings and to the rest of the family via the Family Council.

Follow-on questions may be asked in anticipation of a discussion on personal philosophy of management/leadership:

- What message would you or Jason want to give to each important constituent above?
- Of particular importance, what message would you or Jason want to convey to the management team?
- How would you integrate the siblings as part of the succession and/or communication, in this case?

3. In what ways does the ATF experience share common elements with your own experience related to continuity planning and succession in family business?

Students can be asked to discuss their experience, as reflected in the ATF experience on the dimensions below.

- *What will the senior generation do?* In the case of ATF, outgoing leader Don will look after a small start-up in a new industry for the firm.
- *Where will the outgoing leader be based (i.e., office location)?* For ATF, the predecessor will be at a significant distance; Don gave his office to Jason, his successor.
- *What will new titles be?* ATF effected no change in titles.
- *What kind of interactions will take place between the departing leader and the organization?* For ATF, Don stays on the board. One question is whether Don should continue his "Lunches with the Chairman" program.
- *What will be the roles and career paths and communication methods for the two other siblings not selected as the successor? How will they receive performance reviews?* For ATF, some next steps in career paths are considered, as is a process for sibling communication and roles in decision-making.
- *What preparation expected for potential successors?* ATF emphasizes outside work experience, experience with JV partners, and board observation (for example, will the other two siblings join the board as members or as observers?).
- *What selection process?* For ATF, it isn't particularly spelled out, but it appears the board has a role; the previous non-family president likely had input; and the ages of the predecessor and the siblings have a probable influence too.

- *What is the family's ownership vision?* ATF seems to attend to this, though it's very common for this element to be left out of the plan (see the recommended article "The Succession Conspiracy," mentioned above).
- *How will the successor (and the predecessor and other family owners) be compensated?* Often, this is not communicated. Explicit attention to perquisites is frequently a point of difficulty.
- *What will the future board look like?* For ATF, will it become more formalized and fiduciary? Related to that, how will the successor be assessed in the future?
- *What is the transition calendar?* Not spelled out for ATF.
- *How can the successor be set up for success?* At ATF, Jason could use his particular strengths (analytical skills, attention to detail, mergers and acquisitions experience) at the onset of his appointment with a new acquisition. It's common and valuable for the successor to already identify strategic "pieces" he/she can champion.
- *How and when are succession decisions communicated? To whom?* The "public relations" aspect deserves attention and sensitivity. It's good to remember that a message intended for one constituency is likely heard and interpreted by all others. In a family business the impact on other family members can be significant—especially on siblings and spouses.
- *What will the successor's first "speech" be like? How should the "First 100 Days" be anticipated and addressed?* These are not spelled out for ATF, but they are important elements to discuss.

4. What are the particular challenges Jason Surber faces? What recommendations would you give him to address these challenges?

Below are two central challenges Jason faces and how he might approach them. Students can also generate and discuss others.

How to meld the different management/leadership styles of successor (Jason) and predecessor (his father, Don)?

The class can be asked to describe Don's style and Jason's. Don is portrayed as charismatic, patriarchal, commanding, confident, and intuitive. Jason is more deferential, involving, servant-leadership oriented, and analytical. The class may discuss whether these differences are "classic" in first- and second-generation family firms.

Jason's approach is to emphasize both common (such as "caring" and "passionate") and different (such as "delegation") elements of his and his father's styles.

One well-proven approach for successors like Jason to take to this challenge, based on considerable experience, is *first to tell people what won't change during the transition—especially with regard to values and culture—before emphasizing what will change.*

How to earn credibility?

Jason is following in the steps of a successful entrepreneur/parent who is very well-liked and admired by the organization (and, no doubt, by other constituents). The recommended reading "Tests of a Prince" provides excellent insights and suggestions for addressing this challenge. One is to anticipate the inevitable tests by various stakeholders. Another is to "under-promise and over-deliver."

This is particularly important for family business successors, who may very well feel the extra need to prove themselves. A related suggestion is to see oneself as a champion of strategic insights of others, rather than to feel the personal responsibility to invent a bold new strategy of one's own.

Epilogue

5. What are the elements of a personal philosophy of management/leadership? How would you describe your own?

The following are some common elements of a philosophy of management:

- What motivates people?
 - How to reward?
 - How to assess performance?
 - How to develop people?
 - How to build an effective organization?
 - What to look for in new hires?
- What's the purpose of the company?
 - What do we stand for?
 - What values are key?
 - Why does our success matter?
 - What are stakeholder priorities?
 - What goals are fundamental?
- What makes for strategic success?
 - What are critical drivers?
 - What cultures and beliefs support success?
 - How do the people of the organization make it happen?
 - What will block success?
- What's my role as a leader?
 - How do I fit in?
 - What do I expect from others?
 - How does family and/or private ownership fit it?
 - How do I build and sustain the team?
 - What's my responsibility to the company?

In his classic management book *The Human Equation*, Jeffrey Pfeffer proposes the following elements of management practice:

1. How it recruits, including the sources it uses, and what it promises prospective employees.
2. How it selects from among its recruits, including the use of tests and interviews and particular questions asked, and how it decides whom to hire.
3. How it pays people, including (a) the level of pay, and (b) any incentive compensation or bonus programs in place.
4. What training activities it sponsors, either directly or indirectly.
5. What career paths and career development activities exist, and how people are identified and prepared to assume more responsibility.
6. The degree of specialization and division of labor.
7. What basic organizational structure is used for organizing work: how many levels it has and the nature of the basic organizing units.
8. The physical layout and amenities provided.
9. What the performance management and appraisal process measures, and how often this is done, and by whom.
10. What is measured and talked about more generally in the organization.

Potential assignment: Consider asking students to outline or draft their own personal philosophy of leadership/management. Questions they might ask themselves in this regard include:

- What are some of the most impactful management experiences I have had?
- What am I passionate about in managing and leading?
- Who are role-model leaders for me?

Potential references to help guide their thinking include:

BOOKS BY BUSINESS LEADERS:

Sam Walton, *Made in America* (1993)

Sam Johnson, *The Essence of Family Enterprise* (1988)

Ricardo Semler, *Maverick* (1995)

James Belasco and Ralph Stayer, *Flight of the Buffalo* (1993)

Joel Manby, *Love Works* (2012)

Sammy Lee, *Auto-Pilot Leadership Model* (2012)

Martin Melaver, *Living Above the Store* (2009)

Charles Koch, *The Science of Success* (2007)

Max Depree, *Leadership is an Art* (2004)

W. L. Gore, "Building an Innovation Democracy," Chapter 5, *The Future of Management* (G. Hamel, 2007)

Bob Galvin, *The Idea of Ideas* (1991)

Norberto Odebrecht, *Odebrecht Entrepreneurial Technology* (1998) 3 volumes

CLASSIC BOOKS ON MANAGEMENT/LEADERSHIP PRACTICES:

Machiavelli, *The Prince* (1532)

Drucker, *The Practice of Management* (2006)

Walton (with foreword by Deming), *The Deming Management Method* (1986)

Handy, *The Age of Reason* (1991)

Peters and Waterman, *In Search of Excellence* (1982)

Collins and Porras, *Built to Last* (2004)

Collins, *Good to Great* (2001)

De Geus, *The Living Company* (1997)

Greenleaf, *Servant Leadership* (1970)

Yourcenar, *Memoirs of Hadrian* (1954)

Blanchard, *Helping People Win at Work* (2009)

Covey, *The Seven Habits of Highly Effective People* (1989)

Concluding Remarks

The Surbers are very proactive on several fronts in their attention to continuity planning and succession. Overall analysis of the ATF case and Epilogue (below) yields key lessons, including:

- Succession is not just passing the management authority baton. It's also about:
 - Earning that authority
 - Defining the relationship between the new leader and the organization
 - Managing the ongoing relationship with the predecessor
 - Reconceptualizing relationships among the family members
 - Shaping the board for the future
- To earn authority and trust is a conscious process, with predictable challenges (see especially Lansberg's "Tests of a Prince" article in Supplemental Materials)
- A personal philosophy of management/leadership helps the successor to:
 - Build self-confidence
 - Establish clear priorities
 - Define the criteria for building and earning trust
 - Consciously assess and integrate the cultural challenges and opportunities posed by intergenerational succession

ATF Epilogue

In the summer of 2009, Jason Surber became president of Accurate Threaded Fasteners, Inc. (ATF), the company his father, Don, had purchased about 30 years earlier and built into a \$50 million firm. By 2012, ATF had become a true family enterprise, with all three members of the second generation involved in the business while Don remained in his CEO and board chair positions. In his more than two years as president, Jason had led ATF out of the U.S. recession and through a major acquisition, further developing his own leadership style while managing relationships with his executive team, his father, and his brothers.

ALL IN THE FAMILY

By 2012, all three Surber brothers were married and had children; there were already six members of the third generation. **Exhibit TN1** shows the Surber family tree in 2012.

Jason's younger brother, Ryan, joined ATF four years after Jason started at the company as a manager. Since then, Ryan continued to excel in his Michigan-based field sales role, meeting regularly with key auto industry customers. More recently, in 2011, Jason's youngest brother, Kyle, had begun working at Asyst, an ATF joint venture. Kyle first interviewed for a sales role with ATF, but because no open positions were available in the sales organization at the time, he joined Asyst in a sales role, with a broad charter of being a "change agent," and was carving out a clearer role for himself over time. According to Jason, "It's still early in [Kyle's] time there, but he's already had success, including pushing through some resistance to change." The family realized it couldn't yet determine Kyle's full aspirations and capabilities, along with his potential impact on the business. Moreover, Kyle's entry reflected a new strategy whereby a subsidiary or joint-venture business could serve as an incubator in which to gauge fit between role and interest/abilities, especially because the family had agreed not to create positions specifically for family members.

The Surbers had faced some challenges during the transition from entrepreneurial venture to continuing family enterprise, including having one or two second-generation members outside the business whereas others were involved more deeply. Now that all three brothers were part of the business, greater harmony prevailed among them, and Jason had transitioned into the role of coach for his brothers, appreciating their openness to his input and willingness to challenge his ideas and decisions. Their discussions also led to valuable feedback that Jason could share with his management team. At the same time, Jason had to continue to balance guidance with humility and support in dealing with his brothers as they progressed within ATF.

Jason and his father, Don, had also continued to enjoy a productive and harmonious relationship overall, with mutual respect and clear boundaries. One minor exception was in advisory board¹ meetings, in which Don tended to "take over" a bit more than Jason and the other directors might have liked. "We're still learning how to combat this," Jason said. Jason and Don acknowledged that Don's decreased presence in the office had helped keep Jason "out of [Don's] shadow." In fact, to involve himself in ATF while staying out of Jason's way with regard to day-to-day operations, Don recently had begun working with an Arizona-based aerospace company ATF had acquired, far from ATF's headquarters in Lincolnwood, Illinois.

¹ ATF had a board of advisors that functioned like a board of directors but without legal/voting responsibility.

LEADERSHIP STYLE

After he was named president of the company, Jason thought about the type of management/leadership style he wanted to embody as ATF's head. He believed that although his father had run the company with "his heart and his gut," it was best for Jason himself to use his "heart and his head." Thus, Jason felt that his management style shared elements with his father's (i.e., a caring approach to customers and employees) while incorporating his own personal approach (i.e., more analytical). He believed that would help him and the company at large make a smoother leadership transition, but he sometimes still wondered if he should try to emulate his father's style more fully.

Jason's leadership style was tested soon after he became ATF's president, as the company sought to acquire Header Products, a large manufacturing firm. This acquisition required extensive due diligence and detailed strategic planning, skills that drew upon Jason's law and MBA/analytical background. Jason also relied on many of his managers for data and advice needed to approach and execute the transaction. The acquisition was completed in April 2012 and by the year's end was already exceeding expectations by showing modest profitability (Header had been running at break-even at best over 2010 and 2011). Many ATF managers and board members believed the acquisition would have been more turbulent—or not even possible—with Don in the lead role because of the extensive collaboration and attention to detail required for success.

In line with this, Jason was viewed by the management team as being more of a "professional manager" than his father had been, focused on empowering his reports and even deferring to them on key decisions. For example, he usually looked to chief financial officer John Glazier to provide answers to the board's financials-related questions, rather than answering himself. Jason also took a strong interest in personal/career development and had already put several employee performance measures in place, along with reporting on personal development at board meetings and working with the company's HR department on development-focused surveys. He clearly wanted to establish employee development as a pillar of ATF's culture.

Glazier expressed confidence in Jason's style. "He's able to ask for input while also sharing his thoughts," Glazier said. "That makes the process of making decisions with him less intimidating." He noted that Jason solicited deep input on many business matters from his managers—sometimes even more than they realized—and tended to encourage people to challenge his ideas, which often led to better decisions. The downside of this style included occasional lack of clarity about decisions. "He's so team-oriented that sometimes the management team sometimes isn't even sure if a final decision has been made," Glazier said.

ATF IN 2012

Under Jason's leadership ATF continued to prosper, as did the Surber family. In 2012, the Surber family held interest in multiple business entities (see **Exhibits TN2 and TN3**). ATF alone had revenues of \$58.3 million in 2011, with net income of almost \$2 million; 2012 revenues were more than \$78 million. See **Exhibit TN4** for recent consolidated revenue history.

As far as governance, the company and family had several structures in place. The board of advisors continued to oversee and help guide the company. In 2012, the board comprised Don (chair) and Jason Surber, along with Fred Bishop (Don's original ATF partner, who effectively had been bought out) and two outsiders. The family wished to have a legal and voting board in place for ATF by 2014; in line with this, the board was actively seeking two additional outsiders, in order to gain broader input and perspective. The Family Council had also grown with the family and

company. In 2012, the council comprised Don and Nancy Surber, along with Jason, Ryan, Kyle, and their spouses. **Exhibits TN5** and **TN6** present the Family Council vision statement and a sample Family Council agenda.

Jason Surber's Philosophy of Management/Leadership

GENESIS

Jason espoused a leadership philosophy based on the notion of “servant leadership.” He became deeply interested in the approach after hearing Kellogg professor Bob Neuschel discuss the concept in a business school seminar Jason had attended. Neuschel also taught a Kellogg course on the topic and had written a book about it. “Servant leadership is a management philosophy that you see in practice a lot,” Jason said, “but Professor Neuschel fleshed it out in a way I’d never seen before.” What Jason learned about the philosophy helped shape his approach at a critical time in his leadership journey: the point at which he became president of ATF, his family’s business.

EXECUTING SERVANT LEADERSHIP

Broadly, servant leadership means leaders making service to their teams and organizations a top priority in order to improve morale and performance. A central tenet of this approach holds that leadership is much more about the journey than the destination. Therefore, a leader embracing this philosophy should strive to be the same person across all settings—work, home, and elsewhere. “It’s about personal integrity,” Jason said. “If you’re trying to be one person in one place and a different person in another, that won’t work, especially in a family business. If you don’t believe in your approach, people will see right through it.” This is also part of the ATF Way, discussed below.

Jason noted that business interests are more tightly aligned with family interests in a family business setting than in other professional contexts. “It’s important to view the family business as a gift and to truly appreciate it,” he said. A natural extension of this thinking is that the whole of the business and family is larger than any one part or individual. Embracing that concept makes it easier for servant leaders to put aside their own self-interest for the good of the family and/or business. Again, this leadership approach fits more naturally in a family business, where it is easier to see the importance of the collective good.

THE ATF WAY

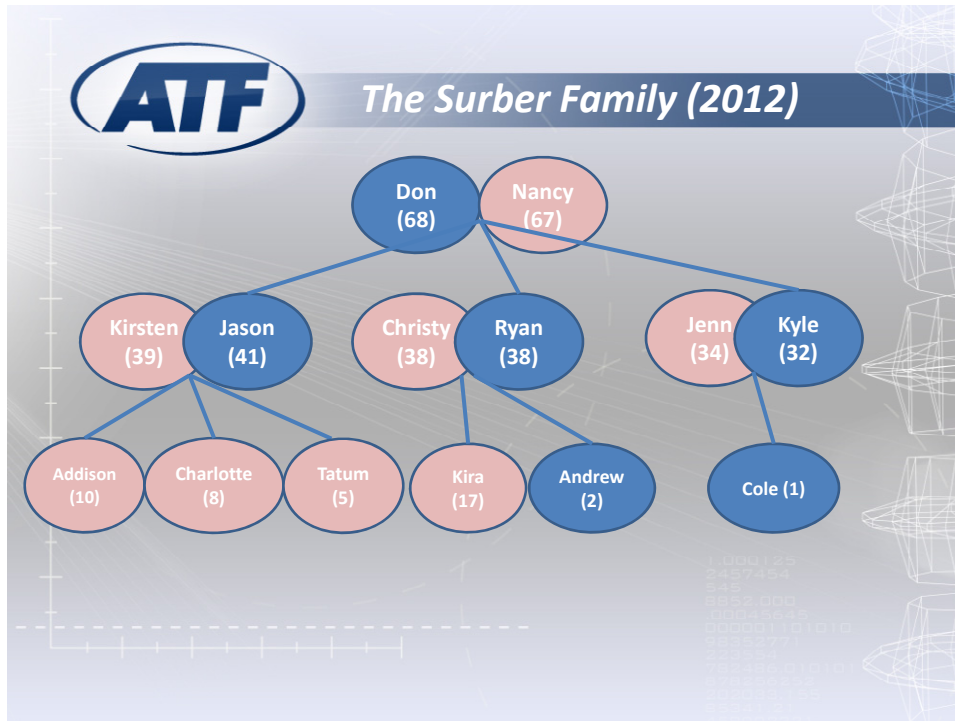
As ATF’s president, Jason defined the “ATF Way,” which included four key points (with the represented core virtue in parentheses):

- *Practice Servant Leadership (Humility)*. This was the idea of all employees rolling up their collective sleeves, with no task beneath anyone. For example, everyone was responsible for looking out for others at ATF and for pitching in to make sure the office and plant were clean.
- *Same-Day Response (Dedication)*. The ATF Way included urgency around communications, so as not to leave any internal or external customer waiting for answers to questions. True dedication required this kind of vigilance.
- *Speak the Truth (Integrity)*. Jason urged transparency in ATF communications, such as financial reporting, and he extended the concept to interpersonal interactions. “It’s about

being the same person when we walk in the door to the office as we are when we walk through the door at home,” he said.

- *Go the Extra Mile (Passion)*. This was often about doing something for a customer or colleague that was unexpected and thoughtful, such as offering a small gift. Don Surber had started the tradition of sending a handwritten card to ATF employees on their birthdays, and Jason was continuing that tradition.

Jason also mentioned the importance of a related concept, “alignment throughout life.” He said, “It’s about having 360 degrees of accountability.” He therefore held himself accountable not only to ATF’s management team and board but to the family, as well. Regarding his specific leadership style as a servant leader, Jason said, “I have to be true to myself and blend that with what works for the family and the business. So my style has to work for the business, my family, and me.”

Exhibit TN1: Surber Family Tree in 2012

Note: Blue/darker circles = male family members; pink/lighter circles = female family members. Ages in parentheses.

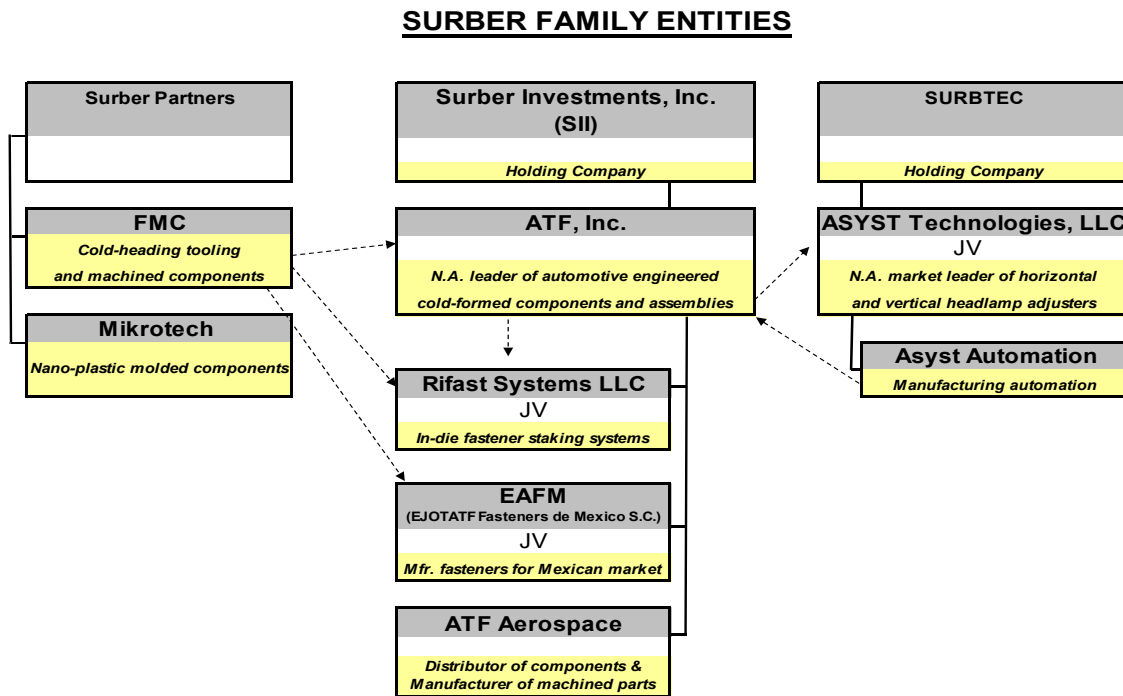
Exhibit TN2: Surber Family Entities Chart

Exhibit TN3: Surber Family Entities Descriptions



ASYST TECHNOLOGIES LLC

Kenosha, Wisconsin

Based in Kenosha, Wisconsin, Asyst Technologies, LLC was a global business that was a niche player in the automotive lighting business. Asyst also had operations in Europe and a growing Asian presence. Asyst offered injection molded parts, assemblies, and mechanisms. Asyst Technologies was a 50-50 joint venture with Surbtec and EJOT Holding GmbH & Co. KG, a German company. (\$20M)



RIFAST SYSTEMS LLC

Lincolnwood, Illinois

Rifast Systems LLC was a designer and manufacturer that offered a complete and integrated system for the in-die staking of studs and nuts in stampings. This was a partnership between ATF and Richard Bergner Holding GmbH & Co. KG, another German company. (\$10M–\$12M)



ATF AEROSPACE LLC

Mesa, Arizona

ATF Aerospace LLC was a recent merger of two small aerospace companies:

- Sanair Products, a small distributor of aerospace components
- Stellar Aerospace, a manufacturer of machined parts

This entity was owned 75% by ATF and 25% by Jim Costello. (\$2M)



FRANKFORT MANUFACTURING
COMPANY

Frankfort, Michigan

Frankfort Manufacturing Company was a small tooling and machined parts business, located in Michigan. This entity was owned by Surber Partners. (\$3M)



MIKROTECH, LLC

Kenosha, Wisconsin

Mikrotech was a full-service micro manufacturer of custom-designed components and subassemblies for medical devices used in minimally invasive surgery. This entity was owned by Surber Partners, Kevin Brennan, and Fred Bishop. (\$2M)

Exhibit TN3 *(continued)*

OLD BANNOCKBURN FINANCIAL SERVICES LLP Lake Forest, Illinois	Old Bannockburn Financial Services LLP was a leasing company owned 75% by Don Surber and 25% by Fred Bishop. Most leases were related party equipment.
SURBCO LIMITED PARTNERS Lake Forest, Illinois	Surbco Limited Partners owned 3550 W. Pratt, Lincolnwood, Illinois (ATF building). Ownership: • 50% Don Surber, general partner • 25% Nancy Surber, limited partner • 25% Fred Bishop, limited partner
SURBER INVESTMENTS INC. Lake Forest, Illinois	Surber Investments Inc. was the holding company owned by Surber Partners.
SURBTEC LLC Lake Forest, Illinois	Surbtec LLC was 50% owner of Asyst Technologies. Owned by Surber Partners and Fred Bishop.

Exhibit TN4: ATF Consolidated Income Statement Summary, 2008–2012 (\$ in millions)

	2008	2009	2010	2011	2012
Revenue	50.1	55.0	70.5	82.3	120.2
Pre-tax income	(0.2)	1.9	3.2	4.5	6.2

Note: Includes ATF and its subsidiaries and joint ventures.

Exhibit TN5: Surber Family Council (SFC) Vision Statement**THE SFC CREDO**

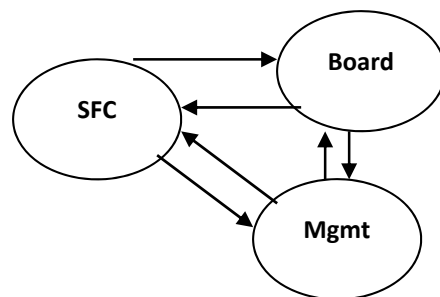
- Practice servant leadership
- Give great service
- Undertake stewardship with honor
- Build an institution of indefinite length

THE SFC VISION

- ATF should strive for market, product, and customer diversification.
- ATF and its ventures shall be entrepreneurial, lean, and focused.
- Any ventures shall be decentralized and attract capital through sound strategy and superior performance.
- ATF must achieve at least an 18.5% pre-tax return on invested capital or 7% return on equity.
- ATF and any ventures should target annual revenue growth of at least 10%.

SFC CORPORATE GOVERNANCE

- SFC desires the following triad arrangement for corporate governance so that checks and balances will apply to each party.



- SFC desires to have a legal and voting board in place for the company by 2014.
- Over the course of the next five years, the board will take on committee responsibilities.
- The committees and then the board as a whole will work toward review and approval process for certain strategic financial and capital decisions.

Exhibit TN6: Surber Family Council—Sample Agenda

9:00 AM	ATF Board Structure	ALL
9:30 AM	Life Insurance	ALL
10:00 AM	Update on Trusts & Education Funds	DES & JRS
10:15 AM	ATF Update Header Products	JRS
10:45 AM	EAFM	JRS
10:55 AM	ASYST	KSS
11:15 AM	FMC/Structure	DES
11:25 AM	Sanair	DES
11:40 AM	Ryan Update	RFS
11:50 AM	Kyle Update	KSS
12:00 PM	Other	ALL